Amazon.com, Inc.

AMZN NASDAQ

Buy	$238.92 ▼ 2.00%	12M Price Target	52-Week Range	Market Cap
		$285.00	$196.00 – $287.20	$2.58T

AMZN: Post-Earnings Jitters Meet AWS/AI Tailwind

WHAT HAPPENED

- AMZN just dropped ~6% over two days ($254 → $239) on massive volume (83M then 71M shares — more than 2x normal). That's a classic post-earnings "sell the news" fade — the market liked the print initially, then institutions started trimming into strength. No fresh news overnight, so this is positioning, not fundamentals.
- The options flow is telling a split story: 102K calls at the $240 strike (59x the normal open interest) screams somebody is betting on a bounce back, but there's also heavy put buying at $240 — translation: traders are hedging/positioning for a big move either way into month-end.

WHY IT MATTERS

Here's what I think is really going on: the broader tape rotated HARD into defensives today (Staples +1.8%, Utilities +1%, Healthcare +1%) while mega-cap tech got sold. That's a risk-off tell — money managers locking in Q4 gains and hiding in boring stuff before year-end. AMZN getting dumped alongside that rotation means this is more about tape mechanics than Amazon-specific problems. The bigger picture: AWS is still the earnings engine, and if the AI capex cycle keeps compounding (Anthropic partnership, Trainium chips gaining traction), the current pullback is a gift. Watch for the stock to find a floor around $230-235 where those unusual call buyers are positioned.

POLICY & POLITICAL WATCH

Two things on my radar: (1) The FTC's antitrust case against Amazon is still grinding through the courts — a trial is expected in 2027, and any pre-trial ruling on remedies (especially anything touching Prime bundling or 3P seller policies) is a real overhang. (2) Trump administration tariff policy on China remains the swing factor for retail margins — Amazon's 1P business and millions of 3P sellers source heavily from China, so any escalation squeezes gross margins directly. On the positive side, the administration's push for AI infrastructure build-out (data centers, power) is a direct tailwind for AWS — faster permitting on data centers and power projects helps Amazon's $100B+ capex plan actually get built.

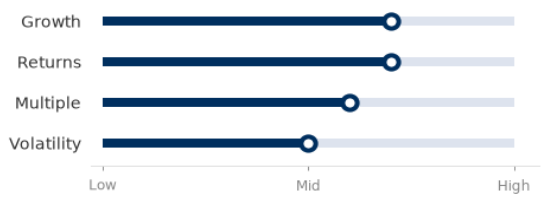
IS IT EXPENSIVE?

At $239, AMZN trades around 37x forward earnings — meaning you're paying $37 for every $1 of expected profit next year. That sounds pricey, but strip out the AI/AWS capex drag on earnings and the "real" multiple is closer to 28-30x, which is reasonable for a business where the cloud segment is growing ~20% with 35%+ margins. The stock is at 47% of its 52-week range — basically middle of the pack — so this isn't a screaming bargain or a bubble, it's a "pay fair for quality" setup.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$238.92**
12M Price Target	**$285.00**
Upside / (Downside)	**+19.3%**
Market Cap	**$2.58T**
FY2026E Revenue	**$710M**
FY2027E Revenue	**$785M**
FY2026E EPS	**$6.40**
FY2027E EPS	**$7.75**
Fwd P/E	**37.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | October 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$258.00**	$245.00	**$225.00**
6 Months	**$290.00**	$265.00	**$215.00**
1 Year	**$320.00**	$285.00	**$210.00**
2 Years	**$380.00**	$320.00	**$220.00**
5 Years	**$520.00**	$420.00	**$250.00**
10 Years	**$850.00**	$625.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Staples, Utilities, Healthcare — this is classic defensive rotation. Investors are de-risking into year-end, parking money in dividend-paying boring stuff. Healthcare is also catching a bid on policy clarity post-election cycle.

COOLING OFF: Mega-cap tech and discretionary (where AMZN lives) — the Nasdaq had a huge run and portfolio managers are taking chips off the table.

ROTATION WATCH: Money is flowing OUT of growth INTO defensives — this is tactical, not thesis-breaking. When this rotation exhausts (usually 2-4 weeks), tech typically reclaims leadership. That's your window to add AMZN.

RELATED PLAY: If you believe in the AI/cloud buildout, the picks-and-shovels names benefit too — think VRT (power/cooling for data centers), ETN (electrical infrastructure), or data center REITs like EQIX.

WHO'S WINNING IN THIS SPACE?

- XLP (Consumer Staples ETF): Leading today on defensive rotation — recession-proof earnings in a jittery tape
- XLE (Energy): Catching a bid on supply concerns and the AI power demand narrative — data centers need electricity

AMZN CONTEXT: AMZN is LAGGING its mega-cap peers today, which actually sets up a mean-reversion trade. When the stock gets washed out alongside sector rotation (not fundamentals), that's historically been a solid add point. The unusual call buying at $240 suggests smart money agrees.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at $239; I'd be a buyer closer to $230 where the technical support sits.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Scale in $230-238. If it breaks $225 on volume, pause and reassess — that would signal something bigger is broken.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is AWS reaccelerating above 20% and AI capex starting to drop to the bottom line (likely 2H 2027).

WHEN TO BAIL: AWS growth drops below 15%, FTC gets a favorable pre-trial ruling on structural remedies, or holiday retail numbers come in materially weak.

HEDGING: Simplest hedge — if you own 100 shares, buy one $220 put expiring in January. Costs you a few bucks but protects you if the market really breaks down. Alternatively, pair the long AMZN with a smaller short in a more expensive mega-cap (GOOGL or MSFT) to isolate your AMZN-specific bet.

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